The practical conclusion must be that if the investor considers a rise in interest rates probable, he should not buy long-term low-coupon bonds, no matter how strong the company; and he should buy short-term issues only if earnings would cover a higher coupon rate with an adequate margin. If, however, he is convinced that the low interest rates are here to stay, he may accept them in the same way as the higher rates were formerly accepted. If he is undecided as to the future of interest rates, the best policy might seem to be to confine purchases to bonds of fairly short maturity (say not longer than ten years) and also to increase his earnings coverage requirement to offset the low coupon rate.

3. Relative Attractiveness of the Two Bonds. Our third question relates to the comparative attractiveness of the 3% bonds of Company A and the 5½% bonds of Company *B*. In strict logic the 5½% bond must certainly be more desirable than the 3% bond, since the 5½% bondholder could always place his claim to the extra 2½% on a contingent basis and thus make his company's margin above fixed charges the same as Company *A*'s. But in practice such a reduction of fixed interest is likely to be made only after the issuer has fallen into financial difficulties, which in turn would cause a substantial decline in the market price of the issue. Hence, as a practical matter, it is possible that the holder of the 3% bond may fare better than the owner of the 5½% bond.

However, the anomaly evident in our example should carry a warning to the investor not to pay about par for a 3% bond on the showing of Company *A* unless he is absolutely convinced of the permanence of very low interest rates. (It will also indicate that there are certain speculative opportunities inherent in a bond of the Company *B* type if it is selling at a very low price because of the small margin above its high interest charges—especially if continuance of low interest rates is expected.)